

Where There's Smoke: Consumer Complaint Velocity as an Early Warning in Financials

Investment brief · Michael Miele · July 18, 2026 · companion to the technical note · github.com/michaelmiele07/alt-data-cfpb-complaints

The premise

Every consumer complaint filed with the CFPB against a financial company is public, timestamped, and named. When a lender's operations break — a botched servicing migration, a fee scheme, a fraud-handling failure — customers complain *before* the damage reaches earnings, reserves, or an enforcement headline. Tracking each company's complaint velocity against its own history turns 17 million filings into a monthly operational-stress monitor that costs nothing.

The mechanism — and its measured limits

- The CFPB mines this same database to choose enforcement targets, so complaint spikes and regulatory risk are mechanically linked.
- The record is tight: **Block and Capital One spiked to all-time records in the exact month the CFPB sued each** (Jan 2025); Navient in the month of its 2017 suit; Wells Fargo around the \$3.7B settlement.
- Measured limit: the pre-committed return test is a **null** ($p=0.82$) — a naive monthly long-short does not pay, because the biggest spikes coincide with already-public news. The value is monitoring, not mechanical ranking.

The investable universe

Credit bureaus	EFX, TRU, EXPGY — highest volume; diluted by credit-repair templates (segmented out)
Money-center banks	JPM, BAC, WFC, C, USB, PNC, TFC, GS (consumer arm)
Cards & consumer credit	COF (now incl. Discover), SYF, AXP, BFH
Fintech / payments	XYZ (Block/Cash App), PYPL, AFRM, SOFI, CHYM, HOOD, COIN
Subprime lenders	OMF, CACC, ENVA, OPRT, WRLD, RM
Debt collectors	ECPG, PRAA — complaint flow is their core operating externality
Servicers	RKT (incl. Mr. Cooper), RITM (Shellpoint), NNI

How an investor would use it

- **Risk overlay / avoid-list:** a sustained multi-month complaint build (not a one-month January blip) raises the odds of enforcement, remediation costs, and reserve builds — check any consumer-finance long against it.
- **Event anticipation:** slower builds that *precede* publicity are the leading component. Current watchlist: **AFRM and COF, June 2026 ($z \approx 2.4\text{--}2.5$ on record volume)** — pre-registered check, Jan 2027.
- **Diligence artifact:** the per-company complaint mix (fees vs fraud vs servicing) reads like a free operational audit of any servicer or fintech position.
- **Know the artifacts:** Rocket's 2026 spike is Mr. Cooper migration mechanics, not organic decay.

What could mislead you

- Spikes are partly reactive to news — confirmation more often than prediction.
- January is seasonally heavy; company attribution shifts with M&A.
- The CFPB's political fortunes could change intake behavior (volumes at records through June 2026, so intake is currently healthy).

Data: CFPB public complaint database (public domain), 2011–June 2026. Methodology, validation, and the null result: [out/cfpb_complaint_velocity_note.pdf](#). Research, not investment advice.